E-Commerce Dashboard Analysis Report

1. Executive Summary

The dashboard analysis of Q1 performance (Jan–Mar) reveals **high volatility in sales alongside strong profitability growth**.

- Sales declined by **36.9% in February**, followed by a sharp **231.2% surge in March**
- Profit increased by **11.9% even during declining sales**, indicating **strong cost control**
- March contributed **56.1% of total sales** and **57.9% of total profit**

Overall: The business shows **strong growth potential but inconsistent monthly performance**, driven by peak-period spikes.

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2. Key Performance Indicators (KPIs)

🔹 **Overall KPIs**

- **Total Sales:** ₹3,54,791.57
- **Total Profit:** ₹46,294.74
- **Overall Profit Margin: 13.05%**

🔹 **Monthly KPIs**

Month	Sales (₹)	Profit (₹)	Profit Margin
Jan	95,365.94	9,199.27	9.65%
Feb	60,172.65	10,288.90	**17.10%**
Mar	1,99,252.98	26,806.57	13.45%

🔹 **Growth KPIs**

- **Sales Growth**
  - Feb vs Jan → **-36.9%**
  - Mar vs Feb → **+231.2%**
- **Profit Growth**
  - Feb vs Jan → **+11.9%**
  - Mar vs Feb → **+160.6%**

🔹 **Contribution KPIs**

- **Sales Contribution**
  - Jan → 26.9%
  - Feb → 17.0%
  - Mar → **56.1%**
- **Profit Contribution**
  - Jan → 19.9%
  - Feb → 22.2%
  - Mar → **57.9%**

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3. Key Metrics Overview

The dashboard primarily tracks:

- **Sales (Revenue)** → Total income generated

  Profit → Net earnings after costs
- **Profit Margin** → Efficiency indicator

Insight: Profit margin variation (9.65% → 17.10% → 13.45%) shows **changing cost structures and pricing strategies**

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4. Trend Analysis

January → February

- Sales: ↓ ₹35,193 (**-36.9%**)
- Profit: ↑ ₹1,089 (**+11.9%**)

Indicates **efficiency improvement despite demand drop**

February → March

- Sales: ↑ ₹1,39,080 (**+231.2%**)
- Profit: ↑ ₹16,518 (**+160.6%**)

Indicates **high-demand period or campaign success**

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5. Comparative Analysis

- **Best Sales Month:** March (₹1.99L)
- **Best Profit Month:** March (₹26.8K)
- **Best Margin Month:** February (17.10%)

Comparison Insight:

- February = **Efficiency-focused**
- March = **Volume-driven growth**

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6. Key Insights

1. **March dominates performance**, contributing over half of total revenue and profit
2. **February achieved highest efficiency (17.10% margin)** despite lowest sales
3. Profit is **not directly proportional to sales**, indicating variable margins
4. Sales drop did not reduce profit → **strong cost control strategy**
5. Business performance is **inconsistent and event-driven**
6. Heavy reliance on March introduces **revenue concentration risk**

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7. Anomalies & Outliers

February Efficiency Spike

- Sales ↓ 36.9%, but margin ↑ to **17.10% (highest)**
  Possible reasons:
- Reduced discounts
- High-margin products
- Lower operating costs

March Sales Surge

- Sales ↑ **231.2%** (extreme growth)
- Margin dropped vs Feb

Indicates:

- Aggressive promotions or bulk sales
- Growth achieved at slightly lower efficiency

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8. Business Recommendations

Growth Strategy

- Identify and replicate **March success drivers**
- Introduce **consistent monthly campaigns**

Profit Optimization

- Focus on **high-margin products (Feb strategy)**
- Control excessive discounting

Balance Strategy

- Combine:
  - February → High efficiency
  - March → High volume

Goal: **Sustainable high-profit growth**

Risk Reduction

- Reduce dependency on a single month
- Improve performance in low-demand periods

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9. Conclusion

The business demonstrates both:

- **Scalability (March performance)**
- **Efficiency (February performance)**

However, inconsistency remains a key challenge.

Final Takeaway:
To achieve long-term success, the business must **stabilize demand while maintaining strong profit margins**, effectively combining **efficiency with scale**.